

Ten Years Ago India Made Much of "Make in India"; Prime Minister Modi Essentially Copied the Policies of the East Asian Rise — Why Hasn't India Grown Explosively Like China?

Zhihu

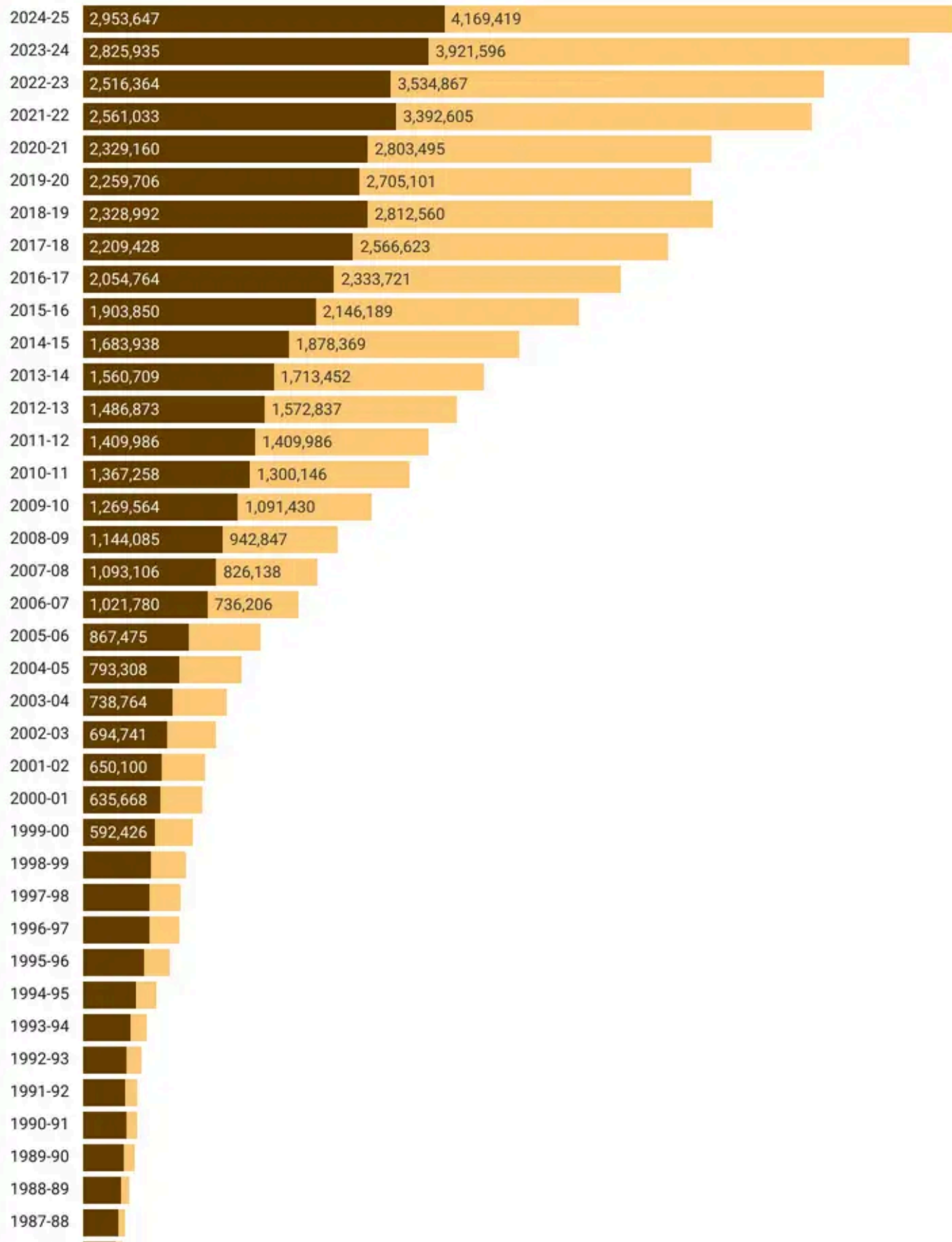
Against the broad background of economic globalisation, South Asia — India included — will rise after East Asia and Southeast Asia. India, the world's largest country by population, is already in the early stage of explosive manufacturing growth, and will show astonishing growth in the coming decade. If India handles its relationship with China well and brings in large-scale Chinese capital, it may well reproduce the miracle of Chinese industrial development in the 2000s.

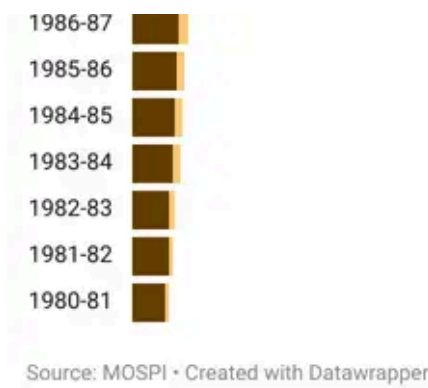
People keep saying Indian manufacturing is going from bad to worse, on the grounds that manufacturing's share of GDP has fallen. But in terms of manufacturing output value, Indian manufacturing has in fact undergone a leapfrog development in the last twenty years. As the chart below shows^[1], India's GDP grew 3.7-fold from 2004 to 2024: 2.12-fold from 2004 to 2014, and 1.75-fold from 2014 to 2024. The pace of the last decade remains fast but has relatively slowed, probably owing in large part to the impact of the COVID-19 pandemic.

India's GDP from Manufacturing Sector (1980-2025)

Figures in Indian Rupees (₹ Crore)

■ Constant Prices ■ Current Prices





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At present, with foreign capital and domestic capital joining forces, Indian manufacturing is in full swing. As the chart below shows, India's purchasing managers' index has remained at a high level^[2]^[3].

India's industrial development is not a complete copy of China. The reason: in the period of China's fastest industrial growth, 1990–2010, capitalism in the industrial core — Europe, America, Japan — had already matured, and its rural surplus labour was long exhausted, so its mid- and low-end manufacturing was at a complete cost disadvantage (in the 1990s, an American textile worker earned tens of times a Chinese one). In the 2020s, by contrast, the large pool of low-cost labour in China, the global industrial core, still needs 10–15 years to exit the labour market, while Southeast Asia is still in the stage of masses of rural labourers entering the cities for work. In courting transnational capital for industrial location, India therefore has to compete with East Asia and Southeast Asia. Hence, compared with China, India depends more on domestic demand, while also using its economic scale to accelerate in mid- and high-end manufacturing ahead of time. At present, the industries the Indian government is focusing on — including new energy, electric vehicles, and electronics chips mentioned in the question — are experiencing exponential growth.

In photovoltaics, "India's domestic solar module manufacturing capacity has exceeded 100 GW, against only 2.3 GW in 2014" — a more than 40-fold surge, rapid by any measure. However, India's domestic "cell capacity is about 28.3 GW, while commercially operating ingot-wafer capacity is only 2.2 GW, and polysilicon production is still at the planning stage. This 'inverted pyramid' industrial structure means India's PV manufacturing still relies heavily on imported raw materials, especially cells and wafers from China."^[4]

In electric vehicles, in FY2026 (1 April 2025 – 31 March 2026), India registered 196,754 electric passenger vehicles, up 82% from 108,342 in the previous fiscal year; sales of electric two-wheelers reached 1.3 million units for the year, up 20.5% year on year.^[5]^[6]

"The domestic content rate of automatic transmissions is extremely low — so low that for a car priced above 150,000 yuan, the domestic content rate of its automatic transmission is virtually zero; even the automatic transmissions fitted in cars of 100,000–150,000 yuan are no more than 20% domestically

made. So the automatic transmission assembly is basically monopolised by the world's large transmission manufacturers." Chi Yongbo, general manager of Shanghai Xinfeimei Transmission Technology Service Co., told the Yicai Daily. Domestic vehicle makers and auto parts suppliers basically rely on foreign capital for core technologies such as automatic transmissions. China imports over 30 billion yuan of automatic transmission assemblies from foreign companies every year.^[7]

So it is perfectly normal that India is behind in EV battery technology; there is nothing strange about it, and it cannot be used to prove that India's EV industry will not take off. India's big domestic capital is seeking to develop the battery industry, but its development is severely constrained by the tense relationship with China. For instance, media recently reported that Reliance planned to build an EV battery plant, but the plan has stalled for lack of a Chinese partner^[8].

As for the electronics industry, the development is even more evident. "Data from India's Ministry of Electronics and Information Technology (MeitY) shows that the country's electronics manufacturing output has exceeded 11 trillion rupees, growing five-fold in six years. Exports have surpassed 3.25 trillion rupees, growing six-fold over the past decade. The industry now employs more than 2.5 million people."^[9] It is especially worth noting that India's electronics exports to China are growing by leaps and bounds: "Among export categories, electronics stand out most. The report says that in the first seven months of this fiscal year, printed circuit board exports soared more than 2,000% to \$418 million. Mobile phone component exports rose 82% to \$362 million."^[10]

India's main problem is its failure to handle the relationship with China well. Although India has recently been gradually relaxing restrictions on Chinese capital, trust in Chinese capital has not yet been established. "Reema Bhattacharya, head of Asia risk at British consultancy Verisk Maplecroft, said bluntly that India's loosening of restrictions on Chinese investment should be seen as a pragmatic adjustment in bilateral relations, not a structural reset. She believes there will not be a flood of Chinese capital into India, because the latter will take into account that if bilateral tensions escalate again, the investment rules may be tightened once more."^{[11][12]}

Over the next ten years, India will be in a stage of large-scale technology importation and the digestion and absorption of foreign advanced capacity. After 2035, India's indigenous technological development will take off; by around 2045, India's advanced manufacturing will strike at the high-tech industries of the whole developed industrial world (China, America, Europe, Japan).

Notes

[1] India GDP from manufacturing sector (chartforest.com)

<https://chartforest.com/india-gdp-from-manufacturing-sector/>

[2] India Manufacturing PMI (statista.com chart)

https://www.statista.com/chart/35225/india-manufacturing-pmi/?srsltid=AfmBOoomxaqa6qp35CkwwMtHAY8sEqHrww_ywVtf4JCDG-_92t1JZuYx

[3] "West Asia crisis impact: Manufacturing PMI drops sharply to near 4-year low of 53.9 in March 2026" (The Hindu)

中文原文: West Asia crisis impact: Manufacturing PMI drops sharply to near 4-year low of 53.9 in March 2026

<https://www.thehindu.com/business/Industry/west-asia-crisis-impact-manufacturing-pmi-drops-sharply-to-near-4-year-low-of-539-in-march-2026/article70814713.ece>

[4] "Capacity leaps from 2.3GW to 100GW: the joys and worries behind India's photovoltaic manufacturing frenzy" (OFweek)

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<https://solar.ofweek.com/2025-08/ART-260001-8420-30669129.html>

[5] "India's March electric vehicle sales hit a record" (gasgoo)

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[6] "Does India plan to become the world's largest EV producer by 2030?" (Huxiu)

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<https://www.huxiu.com/article/4696632.html>

[7] "The embarrassment of the world's largest auto market: China imports over 30 billion yuan of transmissions a year" (Yicai)

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<https://m.yicai.com/news/3048608.html>

[8] "Lacking core technology, India's new-energy battery plans slow down" (Beijing Daily)

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<https://xinwen.bjd.com.cn/content/s696d745be4b0cd719e9c56cd.html>

[9] "Output quintupled in six years, employment over 2.5 million: India's electronics manufacturing enters a period of rapid growth" (ESM China)

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<https://www.esmchina.com/news/13814.html>

[10] "India's exports to China surge: is Trump's tariff 'helping'?" (Sina)

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<https://cj.sina.com.cn/articles/view/1780635941/6a22592500101esjo>

[11] Li Hongmei interviewed by Phoenix Weekly on India's loosening of restrictions on Chinese investment

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<https://www.sis.org.cn/sp/17701.jhtml>

[12] "'India has seen reality: America cannot be relied upon; without China everything is stuck'" (Guancha)

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